

Commentary on Chapter 11

“Would you tell me, please, which way I ought to go from here?”

“That depends a good deal on where you want to get to,” said the Cat.

—*Lewis Carroll, Alice’s Adventures in Wonderland*

Putting a Price on the Future

Which factors determine how much you should be willing to pay for a stock? What makes one company worth 10 times earnings and another worth 20 times? How can you be reasonably sure that you are not overpaying for an apparently rosy future that turns out to be a murky nightmare?

Graham feels that five elements are decisive.^{[1](#)} He summarizes them as:

- the company’s “general long-term prospects”
- the quality of its management
- its financial strength and capital structure
- its dividend record
- and its current dividend rate.

Let’s look at these factors in the light of today’s market.